

TENTATIVE RULINGS

Date: August 6, 2026

#	Case Name	Tentative
1.	30-2025-01495463 City of Westminster vs. Brown	1. Case Management Conference 2. Motion to Strike-Anti SLAPP Defendant Nicole Brown (“Defendant”) moves to strike Plaintiff City of Westminster’s (the “City”) Complaint in its entirety pursuant to Code of Civil Procedure section 425.16. “Litigation of an anti-SLAPP motion involves a two-step process. First, the moving defendant bears the burden of establishing that the challenged allegations or claims arise from protected activity in which the defendant has engaged. Second, for each claim that does arise from protected activity, the plaintiff must show the claim has at least minimal merit. If the plaintiff cannot make this showing, the court will strike the claim.” (<i>Bonni v. St. Joseph Health System</i> (2021) 11 Cal.5th 995, 1009 (<i>Bonni</i>) (internal citations omitted).) In determining whether the plaintiff's claims arise from protected activity, “courts are to consider the elements of the challenged claim and what actions by the defendant supply those elements and consequently form the basis for liability. The defendant's burden is to identify what acts each challenged claim rests on and to show how those acts are protected under a statutorily defined category of protected activity.” (<i>Ibid.</i> (internal citations omitted).) The anti-SLAPP statute identifies four categories of protected activity: 1. Statements made before a legislative, executive, or judicial proceeding, or any other official proceeding authorized by law; 2. Statements made in connection with an issue under consideration or review by a legislative, executive, or judicial body, or any other official proceeding authorized by law; 3. Statements made in a place open to the public or a public forum in connection with an issue of public interest; or 4. Any other conduct in furtherance of the exercise of the constitutional right of petition or the constitutional right of free speech in connection with a public issue or an issue of public interest. (CCP § 425.16, subd. (e)(1)–(4).) 1. <u>First Prong</u> Here, the Complaint asserts causes of action for fraud, conspiracy, false claims and restitution. Plaintiff alleges that “[t]his case arises out of a massive and years-long scheme by Defendants to defraud the City of Westminster and AdminSure, the City’s Workers’ Compensation Administrator of money and property by falsely and fraudulently inflating the claims made on behalf of Brown . . .” and that “[u]nbeknownst to Plaintiff, Defendants have exploited the Workers’ Compensation laws of the

State of California by submitting false claims, seeking compensation for alleged injuries which never incurred or were grossly exaggerated.” (Compl. ¶¶13-14.)

Defendant contends that the filing of a workers' compensation claim is well-established as a protected activity under California law. Specifically, the filing of a workers' compensation claim constitutes "an act in furtherance of a person's right of petition or free speech" and is made "in connection with an official proceeding authorized by law," specifically the state's Division of Workers' Compensation.

This position finds support in *Leegin Creative Leather Products, Inc. v. Diaz*. (*Leegin Creative Leather Products, Inc. v. Diaz* (2005) 131 Cal.App.4th 1517, 1527, as modified on denial of reh'g (Sept. 6, 2005).) In *Leegin*, the plaintiff conceded that the defendant's actions of filing workers compensation claims were taken ““in furtherance of [her] right of petition or free speech under the United States or California Constitution in connection with a public issue.” (Code Civ. Proc., § 425.16, subd. (e).)” (*Id.* at 1521-22.)

In upholding the trial court's grant of the defendant's anti-SLAPP motion, the appellate court observed: “Permitting an employer to bring a civil action for fraud against an employee while the workers' compensation proceeding is pending could have a chilling effect on an employee's exercise of the right to file a workers' compensation claim.” (*Id.* at 1527.) Here, counsel for Defendant submitted a declaration indicating that Defendant initiated a workers' compensation claim which has been ongoing. (Kielty Decl. ¶ 6.)

The City contends that it is not the Workers' Compensation claim or its filing that is the basis of the City's claims. (Oppn at 2:12-14.) However, nearly every substantive paragraph of the Complaint contains some form of allegation that the act alleged was done with the intent to defraud the City and AdminSure (the City's Worker's Compensation Administrator) for the purpose of obtaining compensation—impliedly from the workers compensation fund. (See, e.g., Compl. ¶¶14, 17-34, 40, 43-44.) “A claim arises from protected activity when that activity underlies or forms the basis for the claim.” (*Park v. Board of Trustees of California State University* (2017) 2 Cal.5th 1057, 1062 (*Park*).)

Accordingly, the Court finds that the Complaint arises from acts in furtherance of Defendant's right to petition or free speech within the meaning of the statute.

2. Second Prong

First Cause of Action for Fraud

Generally, ““[t]he elements of fraud, which give [] rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.”” (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 173.)

Defendant contends that the City cannot establish the elements of justifiable reliance or damages to support its fraud claim and, further, the City has no standing to assert these fraud based claims because the workers compensation system requires an employer to promptly notify its insurer in writing of any facts that would tend to disprove any aspect of any employee's claim—therefore implying that it is the insurer that is responsible for investigating the claim. (Lab. Code §3761.)

Here, the City presents the declaration of Jodie Griner, its director of human resource and risk management. Griner declares that the City was damaged by Defendant's fraud because the City was forced to incur expenses defending itself in Defendant's arbitration hearing in which Defendant

		challenged her termination. (Griner Decl. ¶ 2.) Also, the City had to incur payroll expenses for staff to manage this arbitration claim. (Griner Decl. ¶ 3.) However, there is no evidence or argument by the City as to how reliance on Defendant’s misrepresentations resulted in this claimed damage. To the contrary, it would appear that the City terminated Defendant from employment because it found out that she had made misrepresentations. Thus, the City was not relying on the false information when it took the action that resulted in its claimed damages. Accordingly, the motion to strike is GRANTED as to the first cause of action for fraud. <u>Third Cause of Action for Violations of California’s False Claims Act</u> Defendant neglects to separately address the City’s claim under the California False Claims Act. “In 1987, the California Legislature enacted the False Claims Act, patterned on a similar federal statutory scheme, to supplement governmental efforts to identify and prosecute fraudulent claims made against state and local governmental entities. As relevant here, the False Claims Act permits the recovery of civil penalties and treble damages from any person who ‘[k]nowingly presents or causes to be presented [to the state or any political subdivision] . . . a false claim for payment or approval.’ To be liable under the False Claims Act, a person must have actual knowledge of the information, act in deliberate ignorance of the truth or falsity of the information, and/or act in reckless disregard of the truth or falsity of the information.” (<i>Rothschild v. Tyco Internat. (US), Inc.</i> (2000) 83 Cal.App.4th 488, 494–495 (internal citations omitted).) The City has submitted a copy of the Ruling from the Arbitration Proceedings in which the arbitrator determined that the City’s allegations that Defendant acted fraudulently and dishonestly in claiming an inability to work were credible. While this does not appear to be a decision that would be binding upon this Court, Defendant does not deny that the City will be able to present evidence in this case consistent with that presented at the arbitration. This is sufficient to meet the minimal merit standard expressed by the California Supreme Court in <i>Bonni v. St. Joseph Health System</i>. (<i>Bonni, supra</i>, 11 Cal.5th at 1009.) Accordingly, the motion is DENIED as to the third cause of action. <u>Second and Fourth Causes of Action for Conspiracy and Restitution</u> Neither party specifically addressed the conspiracy and restitution claims, which appear to be derivative of the other claims. Since the third causes of action survives, and no argument specific to these claims has been presented, the Court DENIES the motion as to the second and fourth causes of action. Due to this mixed outcome, Defendant’s request for attorney’s fees and costs is DENIED. Defendant to give notice.
3.	30-2023-01329362 Re/Pro Realty vs. Avarca	1. Motion to Compel Deposition (Oral or Written) Plaintiff Re/Pro Realty’s motion to compel the deposition of third party Claudia Romo is DENIED. Per CRC 3.1300(c), <u>a proof of service of the moving papers must be filed no later than five court days before the time appointed for the hearing.</u> No proof of service was filed with the moving papers. Plaintiff to give notice.